

Catch up: SpaceX's shares (and rocket parts) drop; China retaliates against America



Photograph: Getty Images

SpaceX shares dropped by more than 12% before rebounding slightly when American stock markets opened on Wednesday. A day earlier the company spooked investors with its quarterly results, revealing a net loss of \$541m and a big jump in AI spending. Meanwhile, a bus-sized chunk of a SpaceX rocket (which had been jettisoned in space) [crashed into the Moon](#).

China shot back at America for restricting imports of its technology and banning more goods connected to alleged forced labour from the Xinjiang region. China's trade ministry announced new limits on [drone](#) exports and sanctions on six American companies, including Applied DNA Sciences, a biotech firm. Xi Jinping, China's president, is expected to visit his American counterpart, Donald Trump, next month.

Oil prices fell to a three-week low as traders hoped for an imminent deal to reopen the [Strait of Hormuz](#). **Mr Trump** insisted the strait would open "soon" or Iran would be "hit very hard". Earlier Qatar said that negotiations between America and Iran were in "very progressive stages" but that no direct talks were planned.

Iran had denied Mr Trump's claims that direct negotiations were happening.

Demis Hassabis, the Nobel-prizewinning boss of Google DeepMind, an AI lab, will step down. He will become Deepmind's chair and chief scientist for Alphabet, Google's parent. Mr Hassabis said he wanted to focus on the "big picture". Last month he elaborated on proposals to regulate AI, including America's government testing new models before release, in an [interview with The Economist](#).

Citadel's flagship fund gained almost 6% in July, according to investors, its best month since 2022. That was thanks to its snapping up at a discount most of the public stocks held by Situational Awareness, a struggling fund [run by a 24-year-old](#), in a fire sale. The smaller fund was bullish on AI and caught unawares by a tech sell-off.

An explosive-laden **drone** was found at **Leipzig** airport in Germany, where Ukrainian Antonov cargo planes are based. It is the first such drone incursion carrying explosives; previous similar incidents have been linked to Russia. Separately the European Commission said it would transfer a fifth tranche of profits, worth €1.4bn (\$1.6bn), from [frozen Russian assets](#) to **Ukraine**.

Glencore said it was preparing for a second listing in Australia in October. The [Anglo-Swiss miner](#) is one of the largest listings on the [London Stock Exchange](#), but has complained that its shares are undervalued. It said that the Australian Securities Exchange offered a "deep pool of capital" and investors with knowledge of mining. Rival BHP ditched London for Sydney in 2022.

Figure of the day: 570,000. The estimated number of deaths from AIDS last year. [Read](#) about how poor countries are combating the epidemic after America cut aid.

US in Brief: A progressive win in Michigan



Photograph: AP

Abdul El-Sayed narrowly beat Haley Stevens in the Democratic Senate primary in **Michigan**. With 99% of votes tallied, Mr El-Sayed, on the party's left wing, had 48.5%, ahead of the more mainstream Ms Stevens on 47.5%. Mr El-Sayed's victory is a big boon for the Democrats' progressive wing after a [bitter intraparty struggle](#). The left has also won primaries in New York City and Colorado recently.

Primaries also took place in Kansas, Missouri, Virginia and Washington. In **Kansas** Cindy Holscher won the Democratic nomination for governor; the party is hoping it can keep the governorship in an otherwise strongly Republican state. Meanwhile, candidates endorsed by Donald Trump did well in Republican primaries in **Washington**. Amanda McKinney, a local Republican official backed by the president, won a competitive primary for a seat in the House of Representatives.

Trump administration officials reportedly told leading AI **firms** they could submit their "closed" models, for which the source code is not publicly available, for voluntary safety tests. Meanwhile, "open-weight" models, for which the parameters are public, would be free from any oversight. The administration is considering how to regulate the technology after models from OpenAI and Anthropic [hacked several companies](#).

The Senate will vote to confirm **Todd Blanche** as attorney-general this week, after the Judiciary Committee voted 12-10 to advance his nomination. Mr Blanche won over two Republican holdouts after formally rescinding parts of a settlement agreed between the Justice Department and Donald Trump in May. That included scrapping a proposed [\\$1.8bn fund](#) to pay those who the president claims have been unfairly investigated by the government. Mr Blanche also said that Mr Trump's immunity from audit would remain in place, but only for investigations open when the deal was made.

Lawmakers in **Maryland** passed a bill to allow voters to decide on new redistricting rules. The bill would give Democrats, who control both chambers of the state legislature, more scope to redraw congressional districts in their favour. Across the country both Democratic and Republican lawmakers are [racing to redraw congressional maps](#) to their advantage.

Max Miller, a Republican congressman from Ohio, said he would ask the House Ethics Committee to investigate him to "clear my name" as he faces calls to resign in light of domestic-abuse allegations from his ex-wife, which he denies. This week Bernie Moreno, a Republican Senator and Mr Miller's former father-in-law, called him unfit for office. Mr Trump is reportedly concerned about Mr Miller's re-election prospects in November's midterm elections.

Officials in **New York City** said they would consider more than a dozen bills that would regulate **electric bicycles and scooters** amid a rise in fatal crashes. Proposals include crackdowns on e-bikes that exceed the legal speed limit and requiring delivery companies to obtain commercial licences. As e-bike sales have [grown nationally](#), so have injuries. The estimated number of emergency-department visits related to e-bike injuries was 59,200 in 2024, compared with an average of 6,300 a year between 2017 and 2021.

Novo takes another shot at Lilly



Photograph: Getty Images

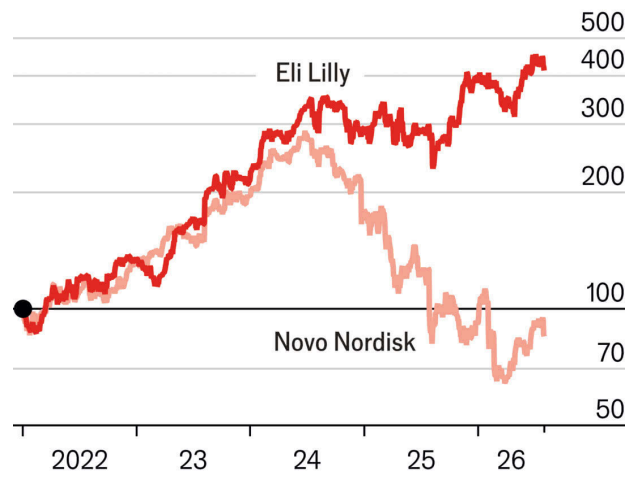
On Wednesday two heavyweights of weight-loss—Novo Nordisk, a Danish drugmaker, and Eli Lilly, its American rival—hold earnings calls. Novo pioneered the latest generation of obesity medicines, known as GLP-1s. But, though it didn't launch its jab until two years later, Lilly is now [the one feasting](#). Since the start of 2024 Lilly's share price has doubled, while Novo's has more than halved. The American firm could capture two thirds of a global obesity-drug market expected to be worth more than \$120bn a year by 2030, according to Bloomberg Intelligence, a research firm.

On Tuesday Novo raised its predicted sales and operating profit for the year but failed to impress investors. Sales of its oral pill, on which the company is pinning its hopes of narrowing the gap with Lilly, came in slightly worse than analysts expected. And its new jab, CagriSema, fell short in a head-to-head trial against Lilly's blockbuster, Zepbound. It looks like the scales are not tipping in Novo's favour just yet.

Chewing the fat

Share prices, January 1st 2022=100

Log scale



Source: S&P Capital IQ

Will the Tate brothers be released on bail?



Photograph: Getty Images

Britain is “pulling out all the stops to politically kidnap” Andrew and Tristan Tate. Or so Joseph McBride, their lawyer, claims. Britain’s Crown Prosecution Service has charged the brothers—celebrated in the “manosphere” for teaching young men to degrade women—with 59 crimes between them, including rape and sex trafficking. They are already on trial for similar charges in Romania, which they left in 2025 after a two-year travel ban was lifted. Both deny wrongdoing.

The Tates were arrested outside a bare-knuckle boxing fight in Miami in July. The deadline for them to petition a judge to release them on bail is on Wednesday, while a court considers Britain’s extradition request. Mr McBride says that the brothers may be “stabbed, jumped [or] murdered” in jail and that other inmates call them things “more appropriate to [Jeffrey] Epstein”, a notorious child sex-offender. Given that some of the charges against Andrew relate to child pornography, Mr McBride may want to invoke a different comparison.

Taiwanese war games begin



Photograph: AFP

On Wednesday Taiwan began its annual ten-day Han Kuang exercises, its biggest military drills. They will test the island's combat readiness in the event of an invasion or blockade by China, which claims Taiwan as its own. The war games come at a time of intense pressure from China, whose coastguard vessels have been increasing patrols east of Taiwan since June. Aware of criticism that past drills have been [something of a public-relations exercise](#), the government has tried to give them more edge. There will be unscripted exercises giving junior commanders more authority, as well as drills to enhance protection of sea routes and to resist amphibious landings.

Perhaps most intriguing is a parallel “urban resilience exercise” which will deliberately slow down mobile internet to test how society and government agencies respond. Last month Taiwan's legislature voted to relax rules on foreign ownership of satellite operators—potentially enabling firms such as Starlink, owned by SpaceX, to offer internet services, should communications be affected in a crisis. Resilience of all sorts could be needed.

The world's top restaurant reopens



Photograph: AP

Noma is famous for daring diners to spoon brains from smoked ducks' heads and eat salads crawling with snails. But recently patrons of the Nordic restaurant, named best in the world five times, have had to swallow worse. First, Noma closed last year, citing financial pressure. Then, in March, the *New York Times* reported that René Redzepi, its star chef, had abused dozens of employees between 2009 and 2017. Mr Redzepi said he did not “recognise all [the] details”, but was “deeply sorry”.

That did not put all diners off their food. Noma's \$1,500-a-menu pop-up in Los Angeles sold out earlier this year, despite picketing outside. The restaurant will reopen in its old location in Copenhagen on Wednesday—though without its Michelin stars (which it automatically lost when it closed) or Mr Redzepi, who will be “creative director” but not at the pass. Noma's new head chefs say they will [improve working conditions](#), which staff have been calling for. That may help the restaurant withstand the heat.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: Which TV series featured Scott Bakula playing the time-travelling scientist, Sam Beckett?

Tuesday: The Althing in Iceland is the oldest form of what type of institution?

The misery of being exploited by capitalists is nothing compared to the misery of not being exploited at all.

Joan Robinson